

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: SHARON MACDONALD, Plaintiff

- and -

SUN LIFE ASSURANCE COMPANY OF CANADA,
INTEGRATED LANDSCAPE SERVICES INC.,
OPERATING AS CAMERON LANDSCAPING, Defendants

BEFORE: H. SPIEGEL J.

COUNSEL: John Cannings, Q.C. / Joel Dick, for the Plaintiff

Derek Greenside, for the Defendant

Pre-Judgment Interests and Costs

[1] In this trial the plaintiff claimed damages against the defendant, Integrated Landscape Services Inc. operating as Cameron Landscaping (Cameron), arising from injuries sustained as a result of a slip and fall that occurred on February 11, 1997 at the Ravine Park Plaza, in what is now known as the City of Toronto. The plaintiff claimed that her fall was due to the accumulation of ice or snow on the parking lot of the plaza.

[2] On April 27, 1999, the plaintiff issued a statement of claim naming the owner of the plaza, Sun Life Assurance of Canada (Sun Life), as the sole defendant. Sun Life commenced a third party proceeding against Cameron claiming contribution and indemnity on the basis that Cameron was the contractor responsible for the removal of ice and snow from the plaza. Cameron delivered a defence to the third party claim as well as a defence to the Plaintiff's claim.

[3] On August 29, 2003, the claim was amended to add Cameron as a defendant.

[4] On May 15, 2005, the plaintiff, with the consent of Sun Life, discontinued her action against Sun Life.

[5] On May 17, 2005, the trial of this action commenced before me sitting with the jury.

[6] On June 7, 2005, the jury returned a verdict finding for the plaintiff but holding that she was contributorily negligent to the extent of 40%.

[7] After allowing prejudgment interest on all heads of damages other than non-pecuniary general damages and allowing for the contributory negligence of the plaintiff, the verdict in favour of the plaintiff amounted to \$335,293.05.

Prejudgment Interest on General Damages

[8] The jury awarded \$55,000 under this head of damages. The plaintiff submits that she is entitled to prejudgment interest (PJI) in accordance with the provisions of Section 128 (1) of the *Courts of Justice Act (CJA)* which provides that PJI shall be calculated from the date the cause of action arose. It is not disputed that the cause of the action arose on February 11, 1997, the date of the accident. The defendant submits however that the court should exercise its discretion to vary or disallow interest for a period other than prescribed under section 128 (1).

[9] The defendant submits that the plaintiff's delay in instituting the action against Cameron, the plaintiff's misrepresentation as to the actual status of her pre-accident health and her delay in addressing the undertakings promptly after they were given, resulted in prejudice to the defendant that warrants a sanction in the form of a reduced period of PJI on the award of non-pecuniary general damages.

[10] On April 18, 2000, the plaintiff provided the defence counsel with an undertaking to provide them with clinical notes and records of Dr. Tam and with a sorted and decoded OHIP summary dating back seven years. Dr. Tam apparently died in March 1997. The defendant alleges that the plaintiff was dilatory in completing her undertaking and, as a result, the only records available from Dr. Tam was her clinical note of February 20, 1997, a consultation report from Dr. Georgovitch dated February 26, 1997 and a consultation report from Dr. Muller dated March 19, 1997. It is also alleged that because of the delay, the plaintiff's counsel was only able to obtain an OHIP summary from April 1, 1997 to February 9, 2005.

[11] The defendant also submit that the plaintiff did not complete its undertakings given on April 18, 2000 for production of records relating to attendances at the Scarborough Centenary Hospital until May 24, 2004. As a result of the production of these records, it was subsequently discovered that there were other pre-accident records that had not been produced relating to a kick to the plaintiff's back in 1985 or 1986. The plaintiff was further examined for discovery on November 5, 2003 and gave an undertaking to provide defence counsel with clinical notes and records of her family physician Dr. Ablack commencing February 1992. With the exception of a few hospital and lab reports, the clinical notes and records of Dr. Ablack could not be located and were not produced. I infer that the defendant submits that this was due to the failure of the plaintiff to promptly secure the clinical notes of Dr. Ablack.

[12] The trial was first scheduled to start on June 9, 2003 but was adjourned at the request of Mr. Cannings who had been appointed as the plaintiff's new counsel on May 8, 2003. The then solicitor for the defendant submitted that there should be an abatement of prejudgment interest as

a condition of granting the adjournment. The presiding judge deferred decision on this issue to the trial judge.

Analysis

[13] It is clear that the *CJA* gives the injured party a *prima facie* right to PJI and the onus is upon the defendant to establish special circumstances to persuade the trial judge to exercise his discretion to the contrary. PJI should be viewed as part of the compensation fairly due to the plaintiff that reflects the value of the money wrongfully withheld from the plaintiff. It should not be viewed as either a reward or a penalty.¹

[14] Notwithstanding the capable arguments advanced on behalf of counsel for the defendant, I am not satisfied that the alleged prejudice suffered by the defendant as a result of such delays constitute sufficient basis to deprive the plaintiff of prejudgment interest as set out in the *CJA*. The parties agree that PJI on the non-pecuniary general damages in accordance with the *CJA* amounts to \$23,160.

[15] After allowing for the contributory negligence found by the jury, this results in an award in favour of the plaintiff in the amount of \$349,185.05 subject to the arithmetic being correct.

Costs

[16] At the conclusion of the trial, after being advised by counsel that there were no offers to settle that bore costs consequences under rule 49, I awarded the plaintiff the costs of the action on a partial indemnity basis to be fixed by me after I received written submissions from the parties. I have now received and reviewed those submissions as well as hearing further submissions from counsel by way of a teleconference.

[17] The plaintiff has submitted a bill of costs on a partial indemnity basis claiming a total amount of \$382,760.56 which can be broken down as follows:

Fees of the present solicitors for plaintiff	\$ 240,910.00
Disbursements	56,979.14
Fees of the plaintiff's former solicitor, Gordon Hills	60,005.00
GST on fees and disbursements	24,366.42
Preparation of bill of costs	<u>500.00</u>
Total	<u>\$ 382,760.56</u>

[18] The plaintiff further claims an unspecified amount for a "risk premium".

¹ See *Astro Tire and Rubber Company of Canada Limited v. Western Assurance Company* (1979), 24 O.R. (2d) 268 (C.A.) and *Irvington Holdings v. Black* (1987), 58 O.R. (2d) 449 (C.A.).

The sufficiency of the bill of costs

[19] The overall objective in fixing costs is to arrive at an amount that is fair and reasonable for the unsuccessful party to pay in the particular proceedings rather than an amount representing the actual costs incurred by the successful litigant.² It has been said that this determination cannot be fairly done “without a proper understanding of a critical examination of the basic facts relating to the services performed and the disbursements made.”³ Such an examination can be an extremely time consuming and tedious task especially for judges who do not routinely deal with such matters. This task is made all the more difficult when the court is not provided with a bill of costs that facilitates the exercise of the court’s function. I regret to say that this is what I am facing in the case at hand.

[20] Rule 57.01 (5) requires the party who is awarded costs to deliver a bill of costs in Form 57A, the preamble of which reads as follows: *Following the items set out in Tariff A, itemize the claim for fees and disbursements. Indicate the names of the lawyers, students-at-law and law clerks who provided services in connection with each item.*

[21] The items set out in Tariff A are the steps in a proceeding before the court for which hourly rates are allowed. The applicable items in this case are pleadings, discovery of documents, setting down for trial, pre-motion conference, examination, pre-trial conference, settlement conference, notice or offer, and, most importantly, preparation for a hearing. A proper bill of costs should set the names of the lawyers and other legal personnel who provided services *in connection with each item*, the hours spent by each person on such item and the hourly rate claimed.

[22] The bill of costs filed by the plaintiff sets out the total number of hours spent by each lawyer involved in the case, the name of the lawyer, the years that the lawyer has been in practice and the hourly rate being claimed. I was also provided with a 53-page computer-generated docket of all of the time spent by the lawyers in Mr. Cannings’ firm as well as a 23-page statement of account from the plaintiff’s former solicitor Gordon Hills, dated September 16, 2004 covering all professional services rendered between May 8, 1997 and May 14, 2003. As has been pointed out by my colleagues on other occasions, the court should not be required to spend hours reviewing each of the various docket entries in an attempt (which in this case would be largely futile) to determine the times spent on each of the applicable items set out in the tariff.⁴

[23] Not only does the bill of costs not break down the time spent on the various items of the Tariff, but also it purports to claim for such services as meeting with clients, legal research, file review and other matters that are not mentioned in the Tariff. This seems to manifest the erroneous assumption that the costs grid entitles the party awarded costs on a partial indemnity

² *Boucher v. Public Accountants Council for the Province of Ontario* (2004), 71 O.R. 3d 291 (C.A.).

³ *Polish National Union of Canada Inc. v. Palais Royal Ltd*, [1998] O.J. No. 2913 at para. 18 (C.A.) and *Murano v. Bank of Montreal* (1998), 41 O.R. 3d 222 at 245 (C.A.), Morden A.C.J.O.

⁴ *Martin v. Ontario*, [2004] O.J. No. 2248 at para. 7 (S.C.J.), Nordheimer J..

basis to recover at an hourly rate for all legal services rendered in the proceedings apart from counsel fee. The costs grid scheme provides for recovery for those services that are rendered in the performance of those items, or steps in the proceedings, described in Part I of the grid and “for any other procedure authorized by the *Rules of Civil Procedure* and not provided for elsewhere in the costs grid.” Fees for such services are only recoverable, if the claiming party satisfies the court that the time claimed is proportionate to what would reasonably be required to perform a particular step in the proceeding referred to in the costs grid.⁵ This is extremely difficult to do where the services described in the docket do not specify the item in the costs grid to which they relate and the bill of costs does not provide the required breakdown.

[24] The shortcomings in the plaintiff’s bill of costs are not atypical. Indeed it has been my observation that the requirements of rule 57.01 (5) have been more honoured in the breach than in the observance thereof. This is a practice which should not continue.

[25] I am of course aware that as of July 1, 2005 the costs grid scheme has been abolished. The Tariff now makes no reference to maximum hourly rates nor specific items but rather refers to the fee for “any step in the procedure authorized by the *Rules of Civil Procedure*.” However the provisions of rule 57.01 (5) remain unchanged, as does the preamble to form 57A previously referred to. My remarks with respect to the requirements of a proper bill of costs are essentially the same under the amended rule 57. Indeed, a review of the Costs Outline, form 57B, required by the new rule 57.01(6) clearly supports this conclusion.

Costs for services rendered prior to Cameron being added as a party defendant

[26] On August 14, 2003, the plaintiff obtained an order from Master Abrams granting leave to the plaintiff to amend the statement of claim by adding Cameron as a defendant. The amended statement of claim that was delivered on August 29, 2003 merely repeated the allegations in the original statement of claim and the allegations previously made only against Sun Life were now made against both defendants.

[27] With Cameron having been added as a defendant, the third party proceeding fell by the wayside since a third party claim cannot be asserted against a party to the action (see rule 29.01). I am advised by counsel for the plaintiff that he expected Sun Life would assert a cross-claim for indemnity against Cameron. However, shortly before trial Sun Life delivered an amended statement of defence that did not contain a cross-claim against Cameron.

[28] Mr. Cannings, at that point, speculated that Cameron and Sun Life had reached some agreement with regard to the indemnity issue. Mr. Cannings was concerned that the plaintiff would be facing a trial with two defence counsel resisting her claim. Mr. Cannings states that he was also concerned that Sun Life might be able to satisfy the court that it had discharged the duty of care imposed upon it by the *Occupiers’ Liability Act*⁶ by showing that it had retained a

⁵ 3664902 *Canada Inc. v. Hudson’s Bay Co.*, [2002] O.J. No. 2096 (S.C.J.).

⁶ R.S.O. 1990, c. O.2.

reputable contractor to ensure that the premises were kept free of ice and snow. Mr. Cannings states that it was for those reasons that he decided to let Sun Life out of the action.

[29] Counsel for Cameron points out that all the costs incurred by the plaintiff up until August 29, 2003 were in an action in which only Sun Life was a defendant. Cameron submits that a defendant should not be held responsible for the fees and disbursements incurred in prosecuting a claim against another party. Cameron further submits that even after August 29, 2003 until May 15, 2005 when Sun Life was let out of the action, some of the costs incurred by the plaintiff were as a result of their pursuing the claim against Sun Life for which Cameron should not be responsible.

[30] The plaintiff responds by submitting that Cameron should be held responsible for all fees and disbursements reasonably incurred in order to bring the action to trial and that the date upon which Cameron's role changed from that of a third party to a defendant is not relevant to the calculation of the plaintiff's recoverable costs. The plaintiff does not submit any authority for this submission.

[31] The outcome of this issue has some significance. As I have noted, the plaintiff in his bill of cost includes the fees and disbursements incurred by her former solicitor, Gordon Hills, for the period from May 8, 1997 to May 4, 2003, when Mr. Cannings' firm was retained by the plaintiff. The details of the services rendered by Mr. Hills are set out in his account in which he claims to have spent 198.6 docketed hours, plus 19.58 hours for legal research and "non docketed items". Mr. Hills claims an hourly rate of \$275.00, for a total claim of \$60,000.00 in fees exclusive of GST.

Analysis

[32] In my view there is generally no basis for costs being awarded against a defendant who was not a party to the action at the time the costs were incurred and particularly when another party was the defendant. While there is no authority directly on point, the matter was touched upon in the case of *Banihashem-Bakhtiari v. Axes Investments Inc.*⁷ This was of a lengthy and complicated proceeding in which the plaintiffs recovered a significant award of damages for personal injuries sustained from a fire alleged to have been caused by the negligence of the defendants (the "fire action"). The trial judge fixed the costs of the plaintiffs on a substantial indemnity basis. Some of the plaintiffs had brought a separate action for malpractice against certain doctors and the hospital in which one of the plaintiffs was treated (the "malpractice action"). This was described as a precautionary measure in the event that the injured plaintiffs did not recover against the defendants in the fire action. The trial judge awarded the plaintiffs the costs incurred by them in the malpractice action against the defendants in the fire case. The Court of Appeal disallowed this portion of the award, stating at paragraph 43:

In our view, there is no proper basis for awarding costs against the appellants when they were not parties to the medical malpractice action. The trial judge

⁷ [2004] 69 O.R. (3d) 671, [2004] O.J. No. 302 (C.A.).

suggests that perhaps the reason for not dismissing the action until 2002 may be related to the failure of the respondents to admit liability. He does not elaborate. While no doubt the medical malpractice action may have been a necessary precaution taken by counsel for the respondents, it is not a precaution that should be financed by the appellants.

[33] I am not suggesting that there can never be a situation in which a defendant may be held responsible for costs incurred by a plaintiff prior to the commencement of the action. Indeed, in this case, Mr. Hills' account details services rendered for a period of some two years before the action was commenced against Sun Life. If costs had been awarded against Sun Life and the plaintiff could demonstrate that the services rendered prior to the commencement of the action related to any of the items referred to in the costs grid, they may very well be recoverable. The problem facing the plaintiff is that Cameron was not made a defendant until about four years after the action was commenced and that Sun Life was let out of the action (presumably without costs).

[34] The plaintiff contends that even though Cameron was not a defendant prior to August 19, 2003, it was a third party who had entered a defence to the main action and on that basis should be held responsible for the plaintiff's costs. Rule 29.05 (2) deals with the consequence of a third party defending the main action. It provides, *inter alia*, that such a third party has the same rights and obligations in the main action including those in respect of discovery, trial and appeal as a defendant in the main action. Assuming that rule 29.05 (2)(a) imposes upon a third party who has entered a defence to the main action an obligation to pay the costs incurred by the plaintiff as a result of that defence, it does not assist the plaintiff. The costs award made against Cameron was solely in its capacity as a defendant, the third party proceeding having fallen by the wayside once Cameron was added as a defendant.

[35] I therefore disallow all the costs claimed for the work done by Gordon Hills. Even if I had not come to this conclusion, I would have, at a minimum, disallowed the time spent by Mr. Hills on the application before the Workers Compensation Board⁸ and the time spent preparing for and attending on the private mediation⁹ on December 16, 2002.

Hourly Rates and Time Spent

[36] The hourly rates claimed and the time spent by the various lawyers on behalf of the plaintiff are set out in the plaintiff's bill of costs as follows:

<u>Lawyer</u>	<u>Hours</u>		<u>Rate</u>	<u>Years of Practice</u>	<u>Total</u>
John Cannings	333.5 hours	x	\$350.00	36	\$116,375.00

⁸ *Gratton-Masury Environmental Technologies Inc. v. Building Materials Evaluation Commission*, [2003] O.J. No. 1658 (Div. Ct.).

⁹ *Biggerstaff v. 934169 Ontario Ltd.*, [2000] O.J. No. 4335 (S.C.J.) and *3664902 Canada Inc. v. Hudson's Bay Co.*, *supra*.

F. Coscarella	469.5 hours	x	\$150.00	3	\$ 70,425.00
D. Joel Dick	121.3 hours	x	\$150.00	3	\$ 18,195.00
M. Benzaquen	24.1 hours	x	\$150.00	3	\$ 3,615.00
Gordon Hills	218.2 hours	x	\$275.00	24	<u>\$ 60,005.00</u>

TOTAL **\$208,610.00**
=====

[37] With respect to the rate claimed for Gordon Hills, the defendant submits that most of the work done by Mr. Hills would have been completed when he was a lawyer having less than 20 years experience and that the maximum allowable therefore would be \$300 an hour. In light of my findings with respect to the services provided by Mr. Hills, this issue may be academic but in the event that I am found to have erred I would allow Mr. Hills an hourly rate of \$250.

[38] The defendant recognizes that Mr. Cannings is an experienced counsel but contends that the maximum rate allowable under the cost grid is not warranted. The defendant contends that the maximum rates reflect an upper standard for the most complicated and important cases which the defendant submits cannot be fair description of the case at bar. A majority of the Court of Appeal has recently commented on the proposition asserted by the defendant and suggests that the proper approach is for the trial judge “to assess the seniority of counsel and the significance of the case in monetary, jurisprudential and procedural terms, and to decide on a case-by-case basis the appropriate rate for senior and junior counsel on the applicable scale.”¹⁰ Mr. Cannings is indisputably a very experienced senior counsel. This would tend to support the higher end of the range of hourly rates. On the other hand, the significance of the case in terms of the factors mentioned by the Court of Appeal would support a lower rate. Taking into account all factors, I find that an appropriate hourly rate for Mr. Cannings would be \$300.

[39] The defendant makes a similar objection with respect of the \$150 hourly rate for the junior counsel in Mr. Cannings’ office who, presumably at the time of trial, had 3 years of practice experience. The maximum allowable rate for a lawyer with less than 10 years seniority is \$250 per hour. Using the approach suggested above, I find that an appropriate hourly rate would be \$125.

Time spent

[40] Plaintiff’s counsel makes reference to a number of authorities in support of the proposition that it is not the court’s function to “second guess” the time spent by counsel. All the authorities however attach a proviso to this proposition, namely, that the time spent is not

¹⁰ *Celanese Canada Inc. v. Canadian National Railway Co.*, [2005] O.J No. 1122 (C.A.) per Feldman and J.M. Simmons JJ.A. at para. 61.

“clearly excessive” or obviously “beyond the reasonable range”, or the matter has not been “over lawyered”.¹¹

[41] The defendant not surprisingly submits that the total time spent by the plaintiff’s lawyers is clearly excessive and beyond the reasonable range and that the matter has been “over lawyered”. Defendant’s counsel in his factum refers to a number of a number of specific instances in the plaintiff’s docket in support of this submission. In light of my decision regarding Mr. Hills’ services, some of the defendant’s objections in terms of duplication of work between Mr. Hills and Mr. Cannings’ firm are to a large degree academic. Defendant’s counsel points out

that the plaintiff’s counsel sought leave to call 29 expert witnesses at trial and, after hearing argument, I found that the majority of these witnesses were not necessary. I granted leave for the plaintiff to call only 9 expert witnesses. There would have no doubt been a considerable amount of time spent in the review of the reports and preparation of experts who, as a result of my order, did not testify. As I have already noted, the dockets provided purport to cover all the work done on the file including services that are not recoverable under the costs grid. However, I do not propose to deal with each individual objection raised by the defendant with respect to the hours spent but will rather approach the matter from a global point of view. I do so from the perspective of one who practiced for 35 years in the City of Toronto for the most part as a trial lawyer who “over prepared” most of his cases, especially those that proceeded to trial with a jury.

[42] The total time spent by all of the lawyers in Mr. Cannings’ office prior to trial is approximately 945 hours. Of this, I have calculated that approximately 250 hours were spent in preparation during the trial period on evenings and weekends. The trial began on May 17 and counsel completed their addresses to the jury on June 3. I instructed the jury on June 6 and they returned with their verdict on June 7. The vast majority of preparation during trial occurred between May 17 and June 3, a period of 18 days including weekends. This would amount to an average of approximately 14 hours of lawyer time for each day in addition to the time spent at trial by Mr. Cannings and Mr. Dick. I recognize that not all preparation can be done before trial and that many good counsel spend a significant amount of time preparing during trial. However, the enormous amount of time spent prior to the trial does not appear to have reduced the need for preparation during trial.

[43] Because of the nature of the dockets and the manner in which the bill of costs was prepared, it is impossible for me to discern with any certainty what portion of the remaining 695 hours are claimed under the category of preparation for hearing.

[44] Under the old tariff, there was considerable controversy as to what constituted preparation for trial. The Court of Appeal in *Hazelton v. Quality Product Ltd. and Heywood*¹² was of the view that this term encompassed only work done after it became clear that the matter

¹¹ *Basdeo v University Health Network*, [2002] O.J. No. 597 at p.3 (S.C.J.); *Banihashem-Bakhtiari v. Axes Investments Inc.* (2003), O.J. No. 3071 at p.13-14 (S.C.J.).

¹² [1971] 1 O.R. 1 (C.A.).

would proceed to trial. To my knowledge the *Hazeleton* case has never been specifically overruled but in recent years the practice has been to interpret the term in a broader fashion.¹³ However, as has been pointed out by Lang J., as she then was, in the *Hudson's Bay* case, *supra*, preparation for hearing under the cost grid does not include every hour of work done that simply does not fit elsewhere in the tariff.

[45] Putting aside the issue of what constitutes preparation for hearing, my best estimate is that of the remaining 695 hours, about 600 hours could only be justified under this heading. Assuming a 40-hour workweek, this would amount to 15 full lawyer weeks for preparation for trial alone over the period of approximately two years in which the case was in Mr. Cannings' office. On its face, this is an extraordinary amount of time.

[46] In assessing the reasonableness of the time spent, one must have regard for the complexity of the proceedings, the importance of the issues and the amount claim as well as the amount recovered. This was a slip and fall case that was vigorously defended on the issues of liability and damages. However, it would be a gross overstatement to suggest that the issues were novel or complicated. This is not to minimize the importance of the issues to the plaintiff, but I am not dealing with the reasonableness of the solicitor's fees to the plaintiff, but rather what is reasonable for an unsuccessful defendant to pay to partially indemnify the plaintiff for those fees. This point was addressed by Borins J.A. in *Moon v. Sher*¹⁴ at paragraph 33:

If a lawyer wants to spend four weeks in preparing a motion when one week would be reasonable, this may be an issue between the client and his or her lawyer. However, the client, in whose favour a costs awards is made, should not expect the court in fixing costs to require the losing party to pay for over-preparation, nor should the losing party reasonably expect to have to do so.

[47] In the circumstances of this case, I must conclude that the 945 hours claimed by Mr. Cannings' office was excessive and clearly beyond the reasonable range on a partial indemnity basis. Doing the best I can with the material before me, I find that a fair and reasonable amount at which to fix the partial indemnity fees of the plaintiff, apart from counsel fee, is \$165,000 plus GST.

Counsel Fee

[48] The plaintiff claims a weekly counsel fee of \$7500 for Mr. Cannings and \$2000 for Mr. Dick for a total counsel fee of \$9500 a week. This amounts to the maximum allowable under the cost grid. Mr. Dick did participate in the trial in the examination of witnesses. He also made legal submissions which I found to be of considerable assistance. I find that it is appropriate in the circumstances of this case to allow a junior counsel fee and I find that the weekly counsel

¹³ *Schlau v. Boyesko*, [1989] O.J. No. 1820 (H.C.J.).

¹⁴ [2004] O.J. No. 4651 (C.A.).

fees claimed by the plaintiff are fair and reasonable. Including the time spent awaiting the jury's verdict and the post verdict submissions, the trial occupied 13½ days. On a weekly basis, I calculate this to be 2.7 weeks. I therefore allow the plaintiff a counsel fee of \$9500 a week for 2.7 weeks which amounts to \$25,650 plus GST.

[49] On the basis of the calculations contained herein, the fees on a partial indemnity basis of the plaintiff amount to \$190,650 plus GST. As I am required to do, I must now consider whether this amount is a fair and reasonable amount that should be paid by the defendant under the circumstances of this case. I find that it is.

The risk premium

[50] Plaintiff's counsel has filed an affidavit that asserts that neither the plaintiff's former or present solicitors received any payment while the litigation was in progress because the plaintiff had no ability to pay. He submits that but for the willingness of counsel to fund the action and to bear the risk of non-payment in the event of failure, the litigation would not have proceeded. He submits the plaintiff is therefore entitled to a premium on her costs award.

[51] The issue of whether a defendant can be required to pay a premium in addition to partial indemnity costs was dealt with in *Walker v. Ritchie*.¹⁵ The Ontario Court of Appeal concluded, at paragraph 113, that it would be unfair to require a defendant to pay a premium in such circumstances:

A defendant has no knowledge of the private arrangements between the plaintiff and his or her counsel and thus has no means of measuring the risk of engaging in litigation. Defendants would be unable to gauge their exposure to costs when deciding whether and how to defend as exposure would be dependent, at least in part, on the financial means of the plaintiff. The difficulty would be compounded by the fact that many plaintiffs would happily agree to any amount of premium if the premium were to be paid by the losing party. In situations where a party realistically understands that his or her exposure for costs is limited to an award on a partial indemnity basis, counsel ought not to be concerned that the normal elements of costs will be inflated by a private agreement made between the other side and his or her counsel.

[52] I awarded costs on a partial indemnity basis. Therefore, on the reasoning outlined in *Walker v. Ritchie*, the claim for a premium is disallowed.

Disbursements

¹⁵ [2005] O.J. No. 1600 (C.A.).

[53] The defendant raises objections to the following items of disbursements which I will assign the numbers as presented in the bill of costs:

4. Brigitte Naylor (print out from Court for Trial Coordinator.) - \$ 20.00

The plaintiff has been unable to explain what this disbursement refers to and this will be disallowed.

5. Minister of Finance - \$110.00

This is the fee payable with regard to adding Cameron as a defendant. I agree with the defendant that this is not an allowable disbursement. However, I would allow one half of the disbursement for issuing the statement of claim made by which amounts to \$66.00.

6. Brigitte Naylor filing form 77 motion - \$ 30.00

9. Brigitte Naylor (file order and amend claim) - \$123.50

I would disallow both item 6 and item 9 on the same basis as I disallowed item No. 5.

18. Dr. Farouk Dindar (duplication of expense at item 15 - \$ 60.00
already claiming \$117.50 for CNR's of Dr. Dindar)

I would disallow this amount since it would appear that it was already claimed under item 15.

29. Brigitte Naylor (file Settlement of Conference Brief) - \$40.00

I would allow this item in the amount of \$40.00.

31. Minister of Finance - \$127.00

- Brigitte Naylor - \$120.00

I would disallow both of these disbursements because they relate to a motion in which relief was claimed against Sun Life only.

39. Centenary Health Centre - \$200.00

This item is disallowed since I am satisfied that Cameron has paid the appropriate share of this disbursement.

44. Dr. A. Kachooie (witness fee) - \$53.00

47. Michael T. Robillard (witness fee) - \$53.00

63. Afshin Khodadadi (witness fee) - \$53.00

The Plaintiff agrees that these items are disallowed as these witnesses did not testify.

57. Paid to Print 3 for photocopying and binding briefs - \$2,270.21

A portion of this disbursement relate to a set of briefs made for Sun Life. I would allow this disbursement at \$2,000.00.

58. Centenary Health Centre - \$37.00

I allow this disbursement in the amount of \$37.00.

61. Michael Robillard & Associates (plaintiff's actuary) - \$2,375.00

This is a fee paid to Michael Robillard for a report regarding the present value of Ms. MacDonald's future additional living costs. The defendant objects because this report was not filed within the time provided by the *Rules of Civil Procedure* and further submits that the amount charged is excessive. I would allow this disbursement in the amount of \$2000.

73. Wal-Mart Pharmacy - \$75.00

I allow this disbursement. I am satisfied there is no duplication here.

82. Brigitte Naylor (service of summons to witness) - \$1,347.50

This relates to a payment for serving various witnesses in the amount of \$1347.50. There is no information confirming the identity of the witnesses. Defendant submits that they would include witnesses not testifying. I reduce this disbursement to \$750.00.

83/84 Canadian Process Serving - \$123.80

This relates to a service of a subpoena on a witness from OHIP. This item is allowed.

98/99 Rehabilitation Management - \$4,996.80

This is a disbursement paid to rehabilitation management for fees charged by Anne Weiga R.N. for preparing for and attending a trial and testifying as a witness on May 27, 2005. The defendant claims that the fees charged is excessive for a witness with Ms Weiga's qualification and includes a fee for her testimony in relation to matters in an addendum which she prepared and was served after the trial commenced. I would reduce this disbursement to \$3600.

102. Michael Robillard & Associates - \$1,945.00

This was a fee paid to the plaintiff's actuary for preparing a common table of present value factors which was used at trial and did away with the necessity of calling actuarial evidence. I would allow this disbursement in full.

[54] All of the allowances referred to are exclusive of GST where applicable.

Conclusion

[55] I therefore fix the plaintiff's costs on a partial indemnity basis in the amount of \$190,650 plus GST. Also, I allow the amount of \$500 claimed by the plaintiff for preparation of drafting the bill of costs. Finally, I allow Mr Cannings' disbursements as set out in the bill of costs subject to the adjustments I have made. If counsel cannot agree on the amount of disbursements, I may be spoken to.

[56] I wish to make it clear that nothing in these reasons should be construed as a determination that the time spent or the disbursements incurred by the plaintiff's solicitors are not properly included in their account to the plaintiff. Mr. Cannings achieved a good result for his client and undertook a considerable financial risk in doing so. The proper amount of the plaintiff's solicitors fees are dependent on factors which go beyond those that were considered by me in fixing the costs to be paid by the defendant on a partial indemnity basis.

H. Spiegel J.

DATE: October 18, 2005